

Unit 12**India, WTO and Trading Blocs****Structure:**

- 12.1 Introduction
 - Objectives
- 12.2 Levels of Economic Integration/Trading Blocs
- 12.3 Effects of Economic Integration
- 12.4 Major Regional Trading Blocs
 - European Union
 - North American Free Trade Agreement (NAFTA)
 - Mercosur
 - Association of South-East Asian Nations (ASEAN)
 - South Asian Association for Regional Cooperation (SAARC)
- 12.5 Commodity Agreement
 - Organization of Petroleum Exporting Countries (OPEC)
- 12.6 World Trade Organization
 - Principles of WTO
 - WTO Agreements (Area of Operation)
 - Benefits of WTO
- 12.7 WTO and India
- 12.8 Summary
- 12.9 Glossary
- 12.10 Terminal Questions
- 12.11 Answers

12.1 Introduction

In the previous unit, we were introduced to the concept of globalization. We also studied about the three main organizations which are promoting globalization. In this unit, we will discuss trading blocs meant for promotion of globalization and define the role of the World Trade Organization (WTO) which provides the legal ground rules for international trade and commerce. These rules are essentially contracts signed by Governments. Their goal is to help producers of goods and services, exporters and importers in conducting international business. Thus WTO is an international trade Organization having a set of rules and principles, mutually designed and agreed upon to promote international trade in general, and reduction of tariff barriers and removal of import restrictions in particular.

You must have heard about the 'Great Depression'. The first half of the 20th century was marked by a major worldwide depression. International trade suffered a setback when after the 'Great Depression' countries erected high tariff walls. The world was plunged into a period of isolation, trade protectionism and economic chaos. In the late 1940s, countries realized that greater co-operation was needed to help them to emerge from the damage of World War-II. The spirit of co-operation was designed to promote economic growth and stability.

During the 1950s and 1960s regional integration gained significant momentum. This regional integration for promotion of international business is otherwise called as trading blocs. These trading blocs involve organizing of individual countries into groups. These groups eventually abolish trade restrictions with member countries, promote cross-border business and may also engage in other activities that promote their citizen's welfare.

Objectives:

After studying this lesson, you will be able to

- describe the various trading blocs.
- recognize the effects of trading blocs.
- explain the objectives and functions of WTO.
- understand the structure, principles, and benefits of WTO.
- describe the benefits and threats of WTO with special reference to India.

12.2 Levels of Economic Integration/Trading Blocs

Economic Integration covers different kinds of arrangements between two or more countries by which they link their economies closer, either in part or in total. They discriminate against the other countries, which are not parties to the agreement through tariffs. There are four levels of economic integration. Each level is described in brief.

a) Free Trade Area

If a group of countries agrees to abolish all trade restrictions and barriers and charge very low rates of tariffs among them in carrying out international trade, such a group is called 'free trade area'. These countries impose trade barriers with regard to trade with the countries other than the member countries of the group, independently. Member countries are free to levy their own external tariffs on goods from outside the free trade area. Thus,

each member country retains autonomy over trade with external countries and they maintain an internal tariff-free area.

There are several free trade agreements in practice. The North American Free Trade Agreement (NAFTA) is the best example. Others include the European Free Trade Association (EFTA), and the Asian Free Trade Area (AFTA).

b) Customs Union

It has two basic features. (i) Member countries abolish all trade barriers among them and charge low tariffs. (ii) They adopt a uniform commercial policy of barriers and restrictions jointly with regard to trade with non-member countries. Typically, this takes the form of a common external tariff, whereby imports from non-members are subject to the same tariff when goods are sold to any member country. Thus customs union is advanced in degree to a free trade area. An example of customs union is Mercosur in South America.

c) Common Market

It has 3 basic features. (i) Abolish all barriers among them. (ii) Adopt uniform commercial policy jointly. (iii) They allow free movement of human resources, technology and capital among the member countries. Thus, restrictions on immigration, emigration, and cross-border investments are abolished. When factors of production are freely mobile, then capital, labour and technology may be employed in their most productive uses. Thus Common Market is superior to Customs Union. The best example is the European Union, which achieved the status of a common market in the 1990s as a result of a 35-year struggle to end barriers to the free movement of labour, capital and technology.

d) Economic Union

This has all three features of the common market. In addition to that, they achieve uniformity in monetary policy and fiscal policy, taxation and social welfare programme among the member countries. The idea is to blend their economies into a single entity. This requires nations to surrender a large measure of their national sovereignty. Thus economic union is superior to Common Market. Formation of economic union is extremely difficult. The Belgium-Luxembourg Economic Union, founded in 1922, is the best example of this form of economic integration.

12.3 Effects of Economic Integration

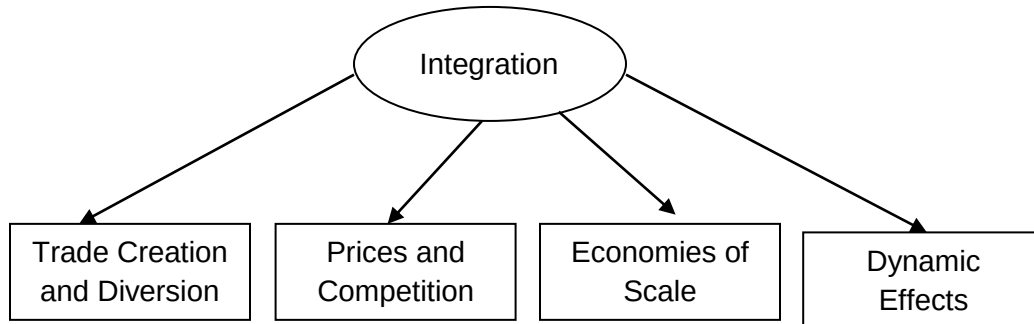


Figure 12.1

a) Trade Creation and Trade Diversion

When trade barriers are removed between countries, industries in respective countries will concentrate on the most efficient use of resources and produce those goods that can be most efficiently produced. As a result all participants will gain from trade. With the removal of trade barriers, exports and imports become much easier between the trading blocs. Efficient exporters can sell surplus goods abroad, and efficient importers can buy goods at a cheaper rate from abroad instead of producing them inefficiently at home.

Trade is diverted from outside the trading areas to inside the trading area. It is because, removal of barriers in the trading area makes exports and imports cheaper and easier. If the common external tariff is higher than the previous importing country's tariff, then the external countries will find it especially difficult to retain their export markets. Trade diversion may result in a net gain or loss depending upon the comparative efficiency of the outside producer.

b) Prices and competition

When trade barriers come down, consumers can buy goods more cheaply. Trade creation increases the availability of goods, enabling the consumers to pick and choose.

By removing the barriers, the trading blocs create competition. The more the trading area spreads, more competition is created. Competition benefits consumers immensely in the form of lower prices, wider choice, and better value of money. In addition, competition stimulates innovation, not only in

products themselves, but also in the channels of distribution, methods of payment, customer area etc.

c) Economies of Scale

Many industries, such as steel and automobiles, require large-scale production in order to obtain economies of scale in manufacturing. These types of industries may not be economically viable in smaller and trade protected countries. In such cases, formation of trading blocs enlarges the market so that large-scale production is justified. Greater production will lower per unit cost and the firm can attain economies of scale. Since a common market allows factor of production to move freely across borders, it can avail of cheaper capital, more skilled labour, and superior technology. These will improve the quantity and quality of the firm's produce.

d) Dynamic Effects of Integration

The term dynamic effects describe the continuous process of change. The integrated competitive environment forces the market to improve efficiency, increase investments, and continual innovation. A new product or process may create a competitive environment for a time, but a competitor will invent something better. The search for success will continue. There will be a perpetual need to innovate, promote investments in new technology, new methods of distribution and product design. Thus more investment will stimulate further increase in production, income, and demand.

Thus the dynamic effect of integration brings about a more efficient allocation of resources throughout the trading bloc, the development of new technology and products, elimination of obsolete technology, promotion of the growth of some business and the decline of others.

Self Assessment Questions

Fill in the blanks

1. In Free Trade Area the focus is usually on eliminating _____ only.
2. The objective of custom unions is to harmonize trade regulations and to establish common barriers against _____ .
3. A common market has all the elements of a custom union and in addition to that it allows free movement of all _____ .
4. Members of the economic union work as a single nation, as far as _____ policy is concerned.

12.4 Major Regional Trading Blocs

In recent years, a large number of trading blocs have emerged. These exist in all parts of the world. The number of regional trade blocs rose from under 25 in 1990 to over 90 in 1998. These range from huge regional trading blocs like APEC or the EU, to agreements between groups of small countries. Some major trading blocs are discussed here.

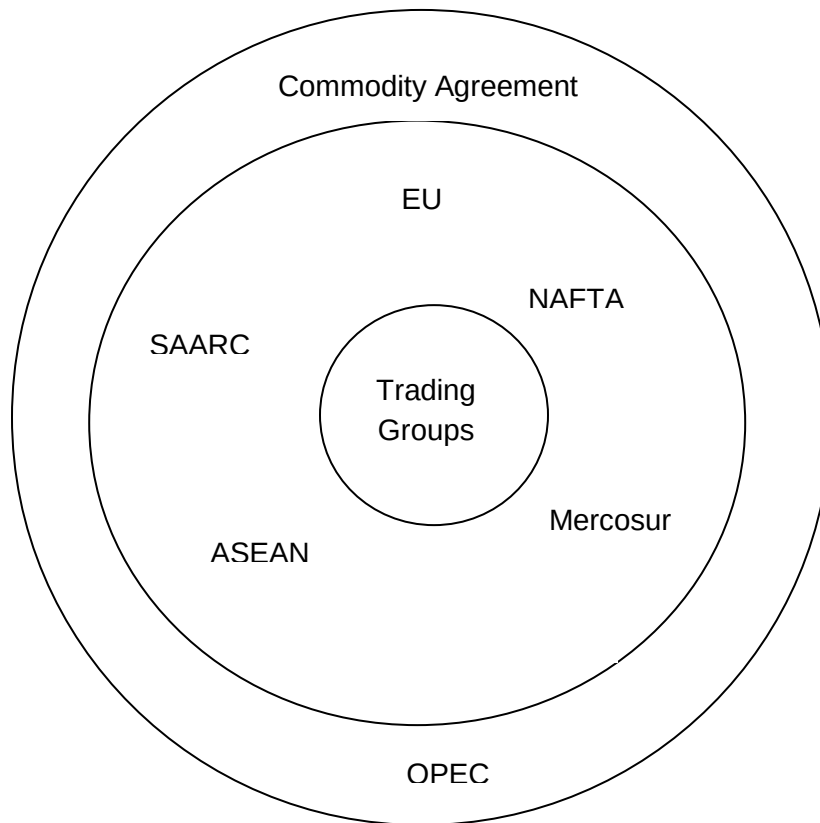


Figure 12.2

12.4.1 The European Union

In a treaty signed in Rome, on March 24 1957, six nations of Western Europe, France, Germany, Italy, Belgium, Netherlands, and Luxemburg agreed to merge their separate economies into one single economic unit by establishing a 'common market' area. This is popularly known as the European Common Market which came into being on 1st January, 1958. The broad mission was to form a customs union, leading gradually to an

economic union, and ultimately to a complete political integration – a Federation of Europe. At present the EU has 25 members.

Activities of the European Union

- Elimination of customs duties among member countries.
- Free movement of capital and people within the block.
- Elimination of obstacles to the free flow of import and/or export of goods and services among member nations.
- Formulation of common tariff policy with non-members.
- Abolition of all obstacles for movements of persons, services and capital among member countries.
- Programs to control disequilibrium in BOP of member countries.
- Establishment of European Social Fund and European Investment Bank.
- Joint promotion of economic & social development of the EEC.
- Greater monetary and fiscal coordination among member states and certain common monetary/fiscal policies.

The EU is aiming for a complete economic and political integration. The economic benefits from this huge trading bloc are substantial. First, there will be gains from eliminating the transaction costs associated with border patrols, customs procedures and the like. Secondly, economic growth will be spurred by the economies of scale due to large-scale production. Thirdly, there will be gains from more intense competition from firms in EU countries. These firms will gain because their operations in one country can now be expanded into others. The developing countries are also benefiting from the EU. With regard to the less developed countries, the EU covers trade as well as aid. The EU and its member countries contribute between 45 and 50 percent of world public development aid. Much of the aid goes to Sub-Saharan Africa, South America, and Southern Asia. It helps provide food, medicine, and other humanitarian aid and also promotes agricultural and rural development projects.

One of the major achievements of the EU has been the introduction of a single currency called Euro, for all the member countries. The single currency did come into effect from 1998, but except in three countries – Britain, Denmark and Sweden. The euro had significant achievements in the recent past. For example, with the euro zone, exchange rate risk has been abolished and this has facilitated cross-border trade and investments.

12.4.2 North American Free Trade Agreement (NAFTA)

NAFTA came into effect on 1st January 1994 comprising United States, Canada, and Mexico. NAFTA is an American counterpart to the EU, but the latter aims at economic and political integration whereas in the American integration the objective is purely economic. It encompasses the whole of North America and is the largest regional economic grouping in the world. Trade between the USA, Canada and Mexico has increased substantially since NAFTA's formation in 1994. NAFTA covers the following areas.

- Elimination of tariffs on most products within ten years and, on certain agricultural and other sensitive products, within fifteen years.
- The agreement also extends to a wider range of non-tariff barriers which include services, public procurement, foreign investments, intellectual property rights, and environmental measures.
- Establishing investment rules that will protect the interests of investors.
- Provides a dispute settlement process that will be followed instead of countries taking unilateral action against an offended party.

NAFTA's benefits for Mexico are proportionately much greater than the US and Canada because Mexico is integrated with economies many times larger than its own. Eliminating trade barriers has led to increase in the production of goods and services, for Mexico. The production of low wage and low –skill goods has increased such as, production of fruits, vegetables, processed foods, sugar and glass. With the free trade area with the US, Mexico has diverted the flow of money and technology that previously moved to low-cost Asia and Eastern Europe.

NAFTA's. Benefits to Canada are economies of large-scale production, thus permitting Canadian firms to adopt more competitive price policies.

The NAFTA has benefited the US economy overall by expanding trade opportunities, reducing prices, and enhancing competition. The effect of NAFTA has included increases in overall US income and increase in the US trade with Canada and Mexico.

Impact of NAFTA has only one drawback, which is job loss in the US because Mexico's low-wage economy attracts investments from the USA.

12.4.3 Mercosur

Mercosur is an economic and political agreement between Argentina, Brazil, Paraguay and Uruguay. It is now a full customs union. Bolivia, Chile, Colombia, Ecuador and Peru currently have associate membership status. Mercosur came into effect on January 1, 1995. The Mercosur effort has three main objectives.

- Establishment of a free trade zone.
- A common external tariff (a customs union).
- Free movement of capital, labour and services.

Mercosur seems to be making good progress. Trade among the members grew from \$4 billion in 1990 to \$16.9 billion in 1996. The combined GDP of the four countries grew at an annual average rate of 3.5 percent between 1990 and 1996, a performance that was significantly better than the four countries attained during the 1980s.

There are criticisms against Mercosur. It is pointed out that the trade diversion effects of Mercosur outweigh its trade creation effects. These countries are insulated from outside competition by tariffs that run as high as 70 percent of the value of the goods and are investing in factories that build products that are too expensive to sell to anyone but themselves. Consequently, they could not compete outside their trade barriers. In the meantime, countries with more efficient manufacturing enterprises could not trade with them as Mercosur external trade barriers kept them out of the market.

12.4.4 Association of South-East Asian Nations (ASEAN)

The ASEAN was formed by the Bangkok Declaration 1967 by five countries, viz, Indonesia, Malaysia, Philippines, Singapore, and Thailand. Later on Brunei, Vietnam, Myanmar, and Laos joined the association. ASEAN includes most of the South-East Asian countries. Despite their political, economic, and cultural diversity, these countries are close neighbours. They prefer to respect each other's independence in internal politics. They reduced intra-regional tariffs or Common Effective Preferential tariffs (CEPT) to a range of 0-5%. In spite of the formation of the trade bloc, the share of intra-regional trade has not increased significantly.

12.4.5 South Asian Association for Regional Cooperation (SAARC)

Economic Integration has also taken place in the Indian subcontinent. It was formally launched on December 8, 1985 by the heads of Governments of Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka. It provides a platform for the peoples of South Asia to work together in a spirit of friendship, trust and understanding. The seven countries committed themselves to sovereign equality, territorial integrity, national independence, non-use of force and non-interference in the internal affairs of other states and peaceful settlements of all disputes. In 1993, they signed the South-Asian Preferential Trading Arrangements (SAPTA) which provided for bilateral reductions in tariff and non-tariff barriers on specified commodities on a reciprocal basis. The eventual objective of SAPTA was to achieve a South Asian Free Trade Area (SAFTA). However on the whole, the achievements of both SAARC and SAPTA have been, rather limited, mainly because of political difficulties. Differences between India and Pakistan have stunted its growth. Situation became worse when the Sri Lanka-based Liberation Tigers of Tamil Eelam, for instance, executed the assassination of Rajiv Gandhi.

At a time when regional blocs have shown enormous economic advantage, the SAARC's inability to come up as a viable regional grouping is highly disappointing.

12.5 Commodity Agreements

Till now we have discussed the integration of economies. It is also useful to understand how countries use commodity agreements to stabilize the price and supply of selected commodities. The most widely known commodity agreement is the Organization of Petroleum Exporting Countries (OPEC). It is a type of trading bloc where a group of countries producing one commodity have significant control over supply and together control output and price.

12.5.1 Organization of Petroleum Exporting Countries (OPEC)

As the name suggests, Organization of Petroleum Exporting Countries (OPEC) is an association of countries which are substantial net exporters of oil and which subscribe to a set of commonly agreed objectives. It is a permanent intergovernmental organization. It was created at the Baghdad Conference on September 10-14, 1960, by five countries viz., Iran, Iraq,

Kuwait, Saudi Arabia and Venezuela. It was later joined by 8 others. They were Qatar, Indonesia, Libya, the UAE, Algeria, Nigeria, Ecuador, and Gabon. Two countries, Ecuador and Gabon, left OPEC in 1992 and 1994, respectively, reducing its membership to the remaining 11 countries. The OPEC member countries coordinate their oil production policies in order to stabilize the oil market and to help the oil producers to achieve a reasonable rate of return on their investments. This policy is also designed to ensure that oil consumers continue to receive stable supplies of oil. Its objectives are the following.

- To coordinate and unify petroleum policies among the member countries.
- To secure fair and stable prices for petroleum producers.
- Proper price and regular supply of petroleum for consuming countries.

The member countries are industrially less advanced countries and depend heavily upon oil revenues. Of course, it is true that OPEC members have been able to raise their per capita incomes to very high levels. But this situation is unsustainable in the long run. Oil revenues cannot be considered as a permanent feature of their GDPs, since petroleum is non-replenishable in nature. They must diversify their economies and generate alternative sources of national income.

Self Assessment Questions

State whether the following statements are true or false.

5. The broad mission of the European Union is a complete economic and political integration.
6. NAFTA is the Asian counterpart of the European Union.
7. MERCOSUR is a trading bloc in Latin America comprising Brazil, Argentina, Uruguay and Paraguay.
8. South Asian Preferential Arrangement (SAPTA) was signed by the SAARC members.

Activity

List the various trade blocs and the members.

12.6 World Trade Organisation

Members of all the trading blocs and agreements are also part of the World Trade Organization, more popularly known as WTO. WTO is now the only globally recognized trade organization that deals with the rules of trade between nations. It administers the rule of law in international trade. It came into existence on January 1, 1995, which took the place of GATT (General Agreement on Tariffs and Trade) as an effective formal organization.

GATT was a multinational treaty that was signed in 1948 by 102 countries with the objective of bringing down tariff and non-tariff barriers of international trade. Until 1994, the main concerns of GATT were to check 'dumping' and unethical business practices. The Uruguay Round Agreements of GATT (held from 1986 to 1994) envisaged an increase in the coverage of the legal provisions and establishment of an institution called the World Trade Organization.

GATT and WTO

The following table shows the basic differences between the GATT and WTO.

Table No. 1

GATT	WTO
GATT was not an organization, but it was only a legal agreement.	It is a permanent institution.
It was applied on a provisional basis.	Its activities are full and permanent.
Its rules were applicable to trade in merchandise goods. But it did not cover the trade in services which is a dominating area in the world.	Its rules are applicable to trade in merchandise and trade in services and trade in related aspects of intellectual property.
Its dispute settlement system was not fast and automatic.	Its dispute settlement system is fast & automatic.
It is an informal organization.	It is a formal organization.

Functions of WTO

- It settles the trade related disputes.
- It co-operates with other international institutions like IMF, IBRD, WB, and associates to establish coherence in trade policy making.
- It oversees the national trade policies of member governments with the help of its Trade Policy Review Body.
- It acts as a management consultant for world trade.
- It oversees the implementation of the significant tariff cut. (Averaging 40%).
- It implements WTO agreements and administers international trade.

The WTO structure

It is designed, based on four hierarchical levels. The hierarchies from the top to the bottom are as follows. The Ministerial Conference, General Council, Dispute Settlement Body, Trade Policy Review Body. Ministerial Conference is the supreme governing body which takes ultimate decisions on all matters. It is constituted by representatives of all the member countries. They meet at least once in two years. It gets the policies and strategies implemented and executed by the next level i.e., the General Council. General Council is composed of the representatives of all members. It is the real engine of the WTO which acts on behalf of the Ministerial Conference. It has other forms like Dispute Settlement Body & Trade Policy Review Body. The former oversees the dispute settlement procedures and the latter conducts regular reviews of trade policies of individual WTO members. The General Council delegates responsibilities to three other bodies – namely,

- The Councils for Trade in Goods,
- Trade in Services and
- Trade-Related Aspects of Intellectual Property Rights

Three other bodies are established by the Ministerial Conference who report to the General Council. They are:

- The Committee on Trade and development (concerned regarding issues relating to developing countries).
- The Committee on Balance of Payments (responsible for solving problems regarding balance of payment difficulties of member countries).

- Committee on Budget, Finance and Administration (dealing with issues relating to WTO's financing and budget).

12.6.1 Principles of WTO

The WTO is based on nine principles. These principles are explained below.

1. **Transparency:** It aims at achieving transparency in world trade relations. Members are obliged to publish their respective laws, regulations, judicial decisions and administrative rulings regarding customs duties, taxes or other charges affecting sale, distribution, and transportation, insurance and warehousing. The basic objective is to enable governments and traders to become familiar with them. Besides, WTO conducts periodic review of trade policies of member countries to promote transparency in their trade policies.
2. **MFN Treatment:** It means all member countries are granted "Most Favoured Nations treatment" or MFN status. It means no member country shall discriminate between its trading partners. Every time a member country lowers a trade barrier or opens up a market, it needs to extend the benefits to all trading partners. This has a great benefit as all the countries whether rich or poor, strong or weak, would be given the same treatment by all the members.
3. **National Treatment (non-discrimination within the country):** National treatment means that imported goods and domestically produced goods will be treated alike, except for the payment of customs duty at the time of import.
4. **Free trade Principle:** WTO believes that liberal trade policies allow unrestricted flow of goods and services which results in expanded markets. Thus lowering trade barriers is the best way to promote trade. When countries produce the goods in which they have comparative advantage and trade with other countries, it ensures optimal utilization of resources. Hence the need for free and open trade is emphasized upon.
5. **Dismantling Trade Barriers:** Physical restrictions on the import and export of goods are prohibited under GATT. However, member countries can protect domestic industries through tariff. The WTO is not an absolute 'free trade' institution. It permits tariffs and other forms of protection but only in limited circumstances.

6. **Rule-based trading System:** WTO implements rules and provisions related to trade policy. WTO agreements are the legal ground rules for international business. It sets and enforces rules necessary for conducting world trade fairly. Through its automatic and speedier dispute settlement mechanism, the WTO adjudicates on disputes between countries. This helps in the open trade between countries.
7. **Treatment for less developed countries:** It recognizes the need for efforts to help developing countries reap the benefits of trade liberalization. There are specific provisions under all the WTO agreements that stipulate trade concessions for less developed countries. These concessions include waiver or deferral of obligations, transfer of technology and the like.
8. **Competition Principle:** The WTO system is designed to promote open and fair competition. Removal or reduction of tariffs and subsidies will expose locally produced goods and services and this promotes competition between them. It also seeks to protect consumer interests by promoting competition among trading members.
9. **Environment Protection:** The preamble to the WTO agreement refers to the objective of sustainable development and to the need to preserve the environment. An agreement on technical barriers to trade contains provisions to protect human, animal and plant life, health and the environment.

12.6.2 WTO Agreements (Area of Operation)

- **Agreement on Agriculture:** This provides a framework for the long-term reform of agricultural trade and domestic policies.
- **Agreement on Trade in Textiles and Clothing:** This provides for phasing out the import quotas on textiles and clothing in force, by the end of the transition period on January 1, 2005.
- **Agreement on Manufactured Goods:** With respect to manufactured goods other than textiles, the developed countries agreed to reduce their tariffs by 40% to an average of 3.8% from the pre-Uruguay Round level of 6.3%.
- **Agreements on TRIMS:** The agreements on trade related investment measures (TRIMS) calls for introducing removal of quantitative restrictions.

- **Trade Related Intellectual Property Rights (TRIPS):** IPR may be defined as “information with commercial values”. It means, to give the owners the right to exclude others from access to the use of protected ideas, innovations and creative expressions. The WTO introduced intellectual Property rules into the multilateral trading system for the first time. The WTO’s TRIPS Agreement is an attempt to narrow the gap. In various ways rights are protected around the world. It tries to bring them under common international rules.
- **Agreement on Services:** For the first time, trade in services like banking, insurance, travel, marine transportation, etc., has been brought within the sphere of negotiation. The GATS (General Agreement on Trade in Services) provides a multilateral framework of principles and services which should govern trade in services under conditions of transparency.
- **Dispute Settlement Body (DSB):** DSB considers the complaints of member countries against violation of rules by any member country. This body meets twice a month for such cases. They appoint a group of experts to investigate into such complaints.
- **Trade Policy Review Body (TPRB):** TPRB reviews the trade policy of member countries. All members of WTO are the members of TPRB. The trade policy of all big trade powers of the world are reviewed every two years.

12.6.3 Benefits of WTO

The WTO has proved its worth in the past years. After its inception with only 23 members, it now has more than 150 members. China and more countries like Vietnam and Laos are eager to gain its membership as it gives many advantages to its member countries. A few advantages of the WTO are:

- The system helps to promote peace.
- Disputes between countries regarding trade are handled constructively.
- Rules make life easier for all.
- Freer trade, cuts the cost of living for all countries.
- It provides more choice of products and qualities.
- Trade raises incomes and stimulates growth.
- The system encourages good governance.
- WTO Secretariat provides technical assistance to developing countries.

Self Assessment Questions

Select the correct option among the alternatives given:

9. WTO deals with,
 - a. Looking after the developed nations.
 - b. Imposing more and more tariffs among member nations.
 - c. Providing finance for international trade.
 - d. Rules of law for international trade.
10. Which of these are agreements under WTO?
 - a. Agreement of Agriculture
 - b. Agreement on trade in textile and clothing
 - c. General Agreement on Trade in Services
 - d. All of the above

12.7 WTO and India

India is a founder member of the GATT (1947) as well as of the WTO, which came into effect from January 1, 1995. Divergent views are expressed in support of and against India becoming a member of the WTO.

Benefits to India:

- India's textile, clothing and agricultural export has increased.
- It has achieved market access to a no. of advanced countries concerning trade.
- Consumers get the essential comforts and even luxuries at a cheaper rate compared to the past.
- A dynamic export industry is evolving and contributing a lot in job creation, skill development, and technological evolution.
- India has the advantage of having trade links with all other member countries.
- The system of multilateral rules imparts greater predictability and stability to the international trading system.

Arguments against India's membership:

- Various countries like the U.S., European countries & Malaysia have been dumping agricultural products hurting the interests of the Indian farmers.
- Fertilizer prices have skyrocketed due to the withdrawal of subsidies.

- Our government is bringing down tariff walls on imports of agricultural products. Our helpless farmers are forced to compete with these foreign imports.
- Introduction of product patents in India will lead to hike in drug prices by the MNCs who have the product patent. This will hit the poor people.
- The claim that India's export will expand considerably is not acceptable to many. Flow of goods and services across the globe depends not only on reduction on trade restrictions, but also on other factors like infrastructure, political environment, technology etc.
- Some people feel that India and other developing countries have blindly walked into the trap laid by the developed countries.

In a nutshell, the WTO gives a lot of opportunities as well as threats to a country and it is up to the country whether it wants to take advantage or surrender to it.

12.8 Summary

- The first half of the 20th century was marked by a major worldwide economic depression and destroyed most of the industrialized nations. To avoid such a situation again, world leaders created the General Agreement on Tariffs and Trade (GATT), a forum for member countries to negotiate a reduction of tariffs and other barriers to trade.
- Later in 1995, GATT was changed into a permanent institution called the WTO. The spirit of co-operation was designed to promote economic growth, stability and international business.
- In the 1950s and 1960s regional integration or trading blocs gained significant momentum. Some major trading blocs are the European Union (six countries of Europe), North American Free Trade Agreement (NAFTA), Mercosur (the South American trading bloc), Association of South-East Asian Nations (ASEAN), and the South Asian Association for Regional Cooperation (SAARC).
- Sometimes countries use commodity agreements to stabilize the price and supply of selected commodities. The most widely known commodity agreement is the Organization of Petroleum Exporting Countries (OPEC).

- Members of all the trading blocs and agreements are part of the World Trade Organization. It is now a globally recognized trade organization. It administers the new global trade rules for international trade. It is evident from the above discussion that the membership of WTO is indispensable in the present era of highly liberalized and globalized environment.
- The need for the hour is to exist with WTO but the developing nations have to protect their interests. The Asian countries can also get together and form a forum like the EU for achieving common goals while preserving their individuality.

12.9 Glossary

- **The World Trade Organization (WTO):** WTO is an international trade organization having a set of rules and principles, mutually designed and agreed upon to promote international trade in general, and reduction of tariff barriers and removal of import restrictions in particular.
- **The Great Depression:** The 'Great Depression' is the period from 1929-1940 which experienced severe recession throughout the world which resulted in a complete collapse of world trade.
- **Intellectual Property Rights:** IPR is a legal concept that confers rights to the owners and creators of a work, for their intellectual creativity.
- **MFN: Most Favoured nation:** The principle of WTO which means treating one's trading partner equally on the principle of non-discrimination.
- **Dumping:** Selling the product at below the ongoing market price in a different country basically to capture the market.
- **Regional Trade Bloc:** When two or more nations come together for the sake of business and reduce barriers of international trade among themselves.
- **Trade Creation:** Trade shifts to a member country of regional block because of elimination of trade barriers.
- **Trade Diversion:** When a group of countries form a trade bloc, trade diverts from non-member countries to member countries.

12.10 Terminal Questions

1. Write a short note on the European Union.
2. Compare GATT and WTO.
3. What is WTO? What are its functions?
4. Describe the various WTO agreements.

12.11 Answers**Self Assessment Questions**

1. Tariffs
2. Non-members
3. Factors of production
4. Economic
5. True
6. False
7. True
8. True
9. d
10. d

Terminal Questions

1. For notes on EU refer to 12.4.1.
2. For comparison, refer to 12.6.1.
3. For meaning refer to the glossary. For functions, refer to 12.6.2.
4. For various agreements, refer to 12.8.

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